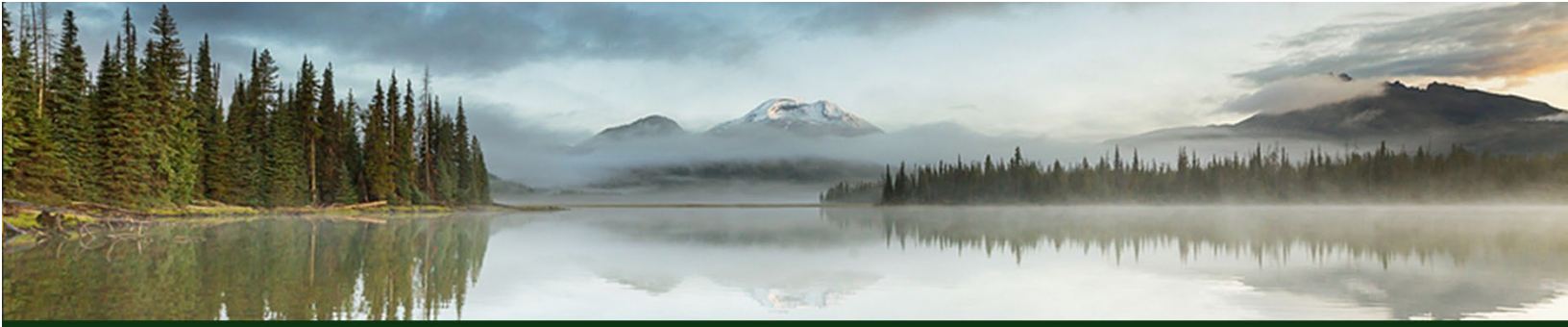

Fact Sheet

2025 Annual Costs and Benefits of the Clean Fuels Program

HB 2017 requires DEQ, by no later than April 15 of each year, to calculate the average cost or cost-savings of the Clean Fuels Program per gallon of gasoline (E10 gasoline, meaning 90% fossil gasoline and 10% ethanol) and per gallon of diesel (B5 diesel, meaning 95% fossil diesel and 5% biodiesel) for the previous year. DEQ is also required to calculate the total greenhouse gas emissions reductions attributable to the low carbon fuel standards for the preceding calendar year.

The approach and values used to calculate the cost of compliance below are conservative, meaning they result in a likely higher cost per gallon than the real effect on fuel prices in the prior year. The carbon intensity values for E10 gasoline and B5 diesel are those used when fuel is imported from out of state, and the biofuel is from an unknown source. It does not account for the value of CFP credits being used to lower the cost of the low-carbon biofuels being blended into gasoline and diesel for use in Oregon. This document presents the cost-savings from the program, which capture the value of the credits making other low carbon fuels such as electricity, renewable natural gas, and renewable diesel, and others cheaper and more affordable to consumers in Oregon.

The State Department of Agriculture must provide this formula and the results of these calculations to each gas station in Oregon to facilitate compliance by gas station owners or operators with ORS 646.932.

Greenhouse Gases Reduced and Fossil Fuel Displaced

In 2025, the Clean Fuels Program led to the reduction of approximately 2.6 million metric tons of greenhouse gases. The Program did that by supporting the displacement of approximately 324 million gallons of fossil fuel by incentivizing alternative, cleaner fuels.

Over the lifetime of the program, since 2016, approximately 17.2 million metric tons of greenhouse gases have been reduced by the Clean Fuels Program.

Average Cost or Cost-Savings of the Clean Fuels Program

Formula

The average cost of the Clean Fuels Program is associated with the difference in the carbon intensity of the fuel when compared to the clean fuel standard and the cost of credits in the program.

$$Average\ Cost = [(Carbon\ Intensity - Standard) \times (Energy\ Density)] \times (\ 1\ tonne\ /\ 1{,}000{,}000\ g\ ) \times (Credit\ Price)$$

Where:

- Carbon Intensity is shown in Table 4 (OAR 340-253-8010), or in the case of the biofuels, electricity, and renewable natural gas, they are the volume weighted average CI from the values published in the Quarter Data Summaries available on DEQ's website.
- Standards are shown in Table 1 or Table 2 (OAR 340-253-8010)
- Energy density is calculated from values in Table 6 (OAR 340-253-8010)
- Credit Price is shown in the Monthly Credit Transaction Report
- Where applicable, the Energy Economy Ratio (EER) is from Table 7 (OAR 340-253-8010)

Average Cost of the Clean Fuels Program per gallon of E10 Gasoline for 2025

Average cost of the Clean Fuels Program per gallon of $E10 = [(98.06\ gCO2e/MJ - 88.25\ gCO2e/MJ) \times (118.38\ MJ/gallon)] \times (1\ ton/1{,}000{,}000\ grams) \times (\$80.51/Ton)$

The average cost of the Clean Fuels Program was $0.0935 or 9.35 cents per gallon of E10 Gasoline for 2025.

Average Cost of the Clean Fuels Program per gallon of B5 Diesel for 2025

Average cost of the Clean Fuels Program per gallon of $B5 = [(98.74\ gCO2e/MJ - 88.87\ gCO2e/MJ)\ x\ (134.06\ MJ/gallon)]\ x\ (1\ ton/1{,}000{,}000\ grams)\ x\ (\$80.51/ton)$

The average cost of the Clean Fuels Program was $0.1065 or 10.65 cents per gallon of B5 Diesel for 2025.

Average Cost of the Clean Fuels Program per gallon of B20 Diesel for 2025

Average cost of the Clean Fuels Program per gallon of $B20 = [(92.68\ gCO2e/MJ - 88.87\ gCO2e/MJ)\ x\ (132.81\ MJ/gallon)]\ x\ (1\ ton/1{,}000{,}000\ grams)\ x\ (\$80.51/ton)$

The average cost of the Clean Fuels Program was $0.0413 or 4.13 cents per gallon of B20 Diesel for 2025.

Average Cost Savings of the Clean Fuels Program per gallon of Renewable Diesel for 2025

Average cost-savings from the Clean Fuels Program per gallon of $Renewable\ Diesel = [(88.87\ gCO2e/MJ - 31.05\ gCO2e/MJ)\ x\ (134.06\ MJ/gallon)]\ x\ (1\ ton/1{,}000{,}000\ grams)\ x\ (\$80.51/ton)$

The average cost-saving from the Clean Fuels Program was $0.6035 or 60.35 cents per gallon of Renewable Diesel for 2025.

Average Cost Savings of the Clean Fuels Program per gallon of Ethanol for 2025

Average cost-savings from the Clean Fuels Program per gallon of $Ethanol = [(88.25\ gCO2e/MJ - 46.07\ gCO2e/MJ)\ x\ (81.51\ MJ/gallon)]\ x\ (1\ ton/1{,}000{,}000\ grams)\ x\ (\$80.51/ton)$

The average cost-saving from the Clean Fuels Program was $0.2768 or 27.68 cents per gallon of Ethanol for 2025.

Average Cost Savings of the Clean Fuels Program per gallon of Biodiesel for 2025

Average cost-savings from the Clean Fuels Program per gallon of $Biodiesel = [(88.87\ gCO2e/MJ - 47.51\ gCO2e/MJ)\ x\ (126.13\ MJ/gallon)]\ x\ (1\ ton/1{,}000{,}000\ grams)\ x\ (\$80.51/ton)$

The average cost-saving from the Clean Fuels Program was $0.42 or 42.00 cents per gallon of Biodiesel for 2025.

Average Cost Savings of the Clean Fuels Program per KWh of Electricity for 2025

Average cost-savings from the Clean Fuels Program per KWh of $Electricity = [(88.25\ gCO2e/MJ - 3.91\ gCO2e/MJ\ /\ 3.4\ EER)\ x\ (3.6\ MJ/kwh)\ x\ (3.4\ EER)]\ x\ (1\ ton/1{,}000{,}000\ grams)\ x\ (\$80.51/ton)$

The average cost-saving from the Clean Fuels Program was $0.0858 or 8.58 cents per KWh of electricity for 2025.

Average Cost Savings of the Clean Fuels Program per therm of Renewable Natural Gas for 2025

Average cost-savings from the Clean Fuels Program per gallon of $Renewable\ Natural\ Gas = [(88.87\ gCO2e/MJ - -172.73\ gCO2e/MJ * 0.9\ EER)\ x\ (105.5\ MJ/Therm)\ x\ (0.9\ EER)]\ x\ (1\ ton/1{,}000{,}000\ grams)\ x\ (\$80.51/ton)$

The average cost-saving from the Clean Fuels Program was $2.14 per therm of Renewable Natural Gas for 2025.

Historical Values

Year	GHGs reduced	Avg E10 CFP cost	Avg B5 CFP cost
2016	831,000 tons	N/A	N/A
2017	926,000 tons	0.23 cent/gallon	0.31 cent/gallon
2018	976,000 tons	0.98 cent/gallon	1.13 cent/gallon
2019	1,275,000 tons	2.57 cents/gallon	2.94 cents/gallon
2020	1,318,000 tons	3.71 cents/gallon	4.24 cents/gallon
2021	1,472,000 tons	5.09 cents/gallon	5.80 cents/gallon
2022	2,020,000 tons	6.92 cents/gallon	7.87 cents/gallon
2023	2,740,000 tons	9.80 cents/gallon	11.17 cents/gallon
2024	3,049,000 tons	7.48 cents/gallon	8.53 cents/gallon
2025	2,600,000 tons	9.35 cents/gallon	10.65 cents/gallon

Contact Information

Please contact OregonCleanFuels@deq.oregon.gov with any questions.

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